

IN THE COURT OF CHANCERY OF THE STATE OF DELAWARE
C.A. No. 2025-0457-MTZ

MEGACHIP TECHNOLOGIES, INC.,
Plaintiff,

v.

NOVA EQUITY PARTNERS, LLC and JONATHAN R. SIMMONS,
Defendants.

DEFENDANTS' MOTION TO DISMISS PLAINTIFF'S VERIFIED COMPLAINT

Defendants Nova Equity Partners, LLC (·Nova Equity·) and Jonathan R. Simmons (·Simmons·, and collectively, ·Defendants·), by and through their undersigned counsel, hereby respectfully move this Court, pursuant to Court of Chancery Rules 12(b)(6) and 9(b), to dismiss with prejudice the Verified Complaint filed by Plaintiff Megachip Technologies, Inc. (·Megachip· or ·Plaintiff·) for failure to state claims upon which relief can be granted.

In support of this Motion, Defendants state as follows:

I. INTRODUCTION

1. This action arises out of an alleged stock purchase agreement dated February 14, 2026 (·SPA·), under which Defendant Nova Equity agreed to acquire 45% of Megachip's outstanding common stock. Plaintiff alleges claims for (i) fraud and (ii) breach of fiduciary duty against Defendants, asserting that they knowingly misrepresented material facts and breached fiduciary obligations in connection with the transaction.

2. As set forth below, Plaintiff's Complaint fails to meet the heightened pleading standards required for fraud under Court of Chancery Rule 9(b) and fails to allege any fiduciary duty owed by Defendants to Plaintiff or its shareholders that could support a claim for breach of fiduciary duty.

3. Plaintiff's allegations rest on conclusory statements, unsupported assumptions, and generic assertions that do not withstand legal scrutiny. Accordingly, the Complaint should be dismissed in its entirety and with prejudice.

II. STATEMENT OF FACTS (AS ALLEGED)

4. Megachip is a Delaware corporation, headquartered in Wilmington, Delaware, engaged in semiconductor manufacturing. (Verified Compl., ¶1.)

5. Nova Equity is a Delaware limited liability company specializing in private equity investments. Simmons is the sole managing member of Nova Equity and a Delaware resident. (Id. ¶¶2-3.)

6. On February 14, 2026, Megachip and Nova Equity entered into the SPA, whereby Nova Equity purchased 1,350,000 shares of Megachip common stock for \$54 million, representing 45% of Megachip's issued and outstanding shares. (Id. ¶¶14-15.)

7. Plaintiff alleges that Defendants fraudulently concealed ·critical information regarding Nova Equity's financial condition, investment intent, and affiliation with a competitor·, which purportedly induced Plaintiff to enter into the SPA. (Id. ¶30.)

8. Plaintiff further contends that Simmons owed fiduciary duties to Megachip by virtue of his

alleged insider relationship arising from a purported informal advisory role beginning in October 2025. (Id. ¶45.)

9. Plaintiff seeks rescission of the SPA, damages in excess of \$30 million, and attorneys' fees.

III. LEGAL STANDARD

10. To survive a motion to dismiss under Rule 12(b)(6), a complaint must plead facts sufficient to state a claim that is plausible on its face. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009).

11. Claims sounding in fraud require heightened pleading particularity under Rule 9(b), including the who, what, when, where, and how of the alleged fraud. *Vichi v. Koninklijke Philips Elecs. N.V.*, 85 A.3d 725, 744 (Del. Ch. 2014).

12. In Delaware, to maintain a breach of fiduciary duty claim, the plaintiff must plead a duty owed, breach of that duty, and resulting damages. *Cincinnati SMSA Ltd. P-ship v. Cincinnati Bell Cellular Sys. Co.*, 708 A.2d 989, 992 (Del. 1998). A fiduciary duty arises only upon a relationship of trust and confidence, not from arms-length negotiations between sophisticated parties.

IV. ARGUMENT

A. Plaintiff Has Failed To Plead Fraud With the Required Particularity.

13. Plaintiff's fraud claim is based on a broad assertion that Nova Equity and Simmons concealed their financial condition, investment intent, and affiliation with a competitor. (Compl. ¶30.) This sweeping allegation is vague and unsupported by specific facts.

14. Plaintiff fails to identify any specific material statement or omission made by Defendants that was false or misleading. Further, the Complaint does not provide any date, time, or place of such communications, nor does it allege how Plaintiff reasonably relied on any such misstatements.

15. The only alleged concealed fact that Defendants were affiliated with a competitor does not withstand scrutiny. Plaintiff concedes in its own Complaint that Nova Equity was formed as an independent investment vehicle with no business operations other than private equity investments. (Id. ¶5.)

16. Courts in Delaware have routinely dismissed fraud claims where plaintiffs fail to plead particularized facts indicating intentional misrepresentation or fraudulent concealment. See *In re Santa Fe Pac. Corp. S-holders Litig.*, 669 A.2d 59, 75 (Del. 1995).

17. Here, Plaintiff's pleading is comprised solely of conclusory allegations and generic accusations that do not satisfy Rule 9(b). The claim for fraud must be dismissed.

B. Simmons Did Not Owe a Fiduciary Duty to Plaintiff in Connection With the SPA.

18. Plaintiff's breach of fiduciary duty claim against Simmons is premised on his alleged informal advisory role starting in October 2025. (Compl. ¶45.) However, the Complaint admits that Simmons had no formal position with Megachip, no equity interest before the SPA, and was never a director, officer, or controlling shareholder of Megachip.

19. Delaware law is clear that fiduciary duties arise from defined relationships involving control or trust, such as directors, officers, controlling shareholders, or persons in confidential relationships with the corporation. See *Guth v. Loft, Inc.*, 5 A.2d 503, 510 (Del. 1939).

20. Informal or casual advisory roles do not automatically create fiduciary duties. See *In re Transkaryotic Therapies, Inc.*, 954 A.2d 346, 387-88 (Del. Ch. 2008). The Complaint fails to allege any facts demonstrating that Simmons exercised control or entered into a legal fiduciary relationship with Megachip outside the contractual context of the SPA.

21. Since contracts between sophisticated parties negotiating at arm's length do not impose fiduciary duties, Simmons cannot be held liable for breach of fiduciary duty based on the allegations here.

C. Plaintiff Fails to Allege Causation or Damages.

22. Plaintiff-s Complaint does not sufficiently allege that any purported fraud or breach caused it to suffer damages. The SPA was executed following extensive due diligence, during which Nova Equity made numerous disclosures.

23. Plaintiff-s own allegations suggest it had equal access to information and negotiated the SPA-s terms over multiple months, further undermining causation.

24. Therefore, even if a fiduciary duty existed or fraud were pled, Plaintiff-s failure to allege actual damages warrants dismissal.

V. CONCLUSION

25. For the foregoing reasons, Defendants respectfully request this Court to dismiss Plaintiff-s Verified Complaint in its entirety with prejudice and grant such other and further relief as the Court deems just and proper.

Respectfully submitted,

/s/ Henry T. Caldwell
Henry T. Caldwell (No. 5123)
MORGAN & PEARSON LLP
1201 Market Street, Suite 1500
Wilmington, Delaware 19801
(302) 555-0123
hcaldwell@morganpearson.com

Attorney for Defendants
Nova Equity Partners, LLC and Jonathan R. Simmons

Dated: March 1, 2027

CERTIFICATE OF SERVICE

I, Henry T. Caldwell, hereby certify that on March 1, 2027, a true and correct copy of the foregoing Motion to Dismiss was served upon the following counsel by File & ServeXpress, and by email:

David M. Leary, Esq.
Portman & Collins LLP
300 Delaware Avenue, Suite 900
Wilmington, Delaware 19801
dleary@portmancollins.com

/s/ Henry T. Caldwell
Henry T. Caldwell